Distinction between a Cheque and Promissory note

Sl. No.	Basic of Difference	Cheque	Promissory Note
1.	**Nature of order**	A cheque contains an order to pay money	A promissory note contains an undertaking to pay money.
2.	**No. of Parties**	There are three parties in a cheque – drawer, drawee and payee	In a promissory note there are only two parties – the maker and the payee.
3.	**Creator of the instrument**	The drawer of a cheque is a creditor	The maker of a note is a debtor
4.	**Identity of the parties to instrument**	The drawer and the drawee can be one and same person	This cannot be so in a promissory note
5.	**Payableness**	A cheque is always payable on demand	A promissory note, on the other hand is payable either on demand or after a specified period.
6.	**Crossing**	A cheque can be crossed	A pronote cannot be crossed
7.	**Stamping**	A cheque need not be stamped	A promissory note has to be sufficiently stamped
8.	**Discounting**	A cheque cannot be discounted	A promissory note can be discounted with a banker
9.	**Grace Period**	No days of grace are allowed for payment of a cheque	Three days of grace are allowed for calculating the due date of promissory note
10.	**Bearer**	A cheque is payable to order or to bearer	A promissory note cannot be made payable to bearer

Distinction between a Bills of Exchange and Promissory note

Sl. No.	Basic of Difference	Bill of Exchange	Promissory Note
1.	**Nature of Undertaking**	A bill of exchange contains an unconditional order to pay money.	A promissory note contains an unconditional undertaking to pay money.
2.	**No. of Parties**	There are three parties in a bill of exchange drawer ,drawee and payee.	In a promissory note there are only two parties the maker and the payee.
3.	**Drawer of the instrument**	A creditor draws a bill on a debtor.	A debtor executes a promissory note in favour of a creditor.
4.	**Identity of the parties**	In a bill of exchange, both the drawer and the payee can be one and the same person.	In a promissory note, the maker himself cannot be the payee because the same person cannot be both the promisor and the promisee.

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